

April 22, 2026

SBD Earnings Pre-Read

Stanley Black & Decker reports Q1 Tuesday morning. Here's what to watch and what it means for STIHL.

Rob,

I rebuilt the intelligence system since we last talked. Instead of a portal, it's a PDF that lands in your inbox before the earnings call. The markdown file I've attached separately is uploadable to Claude if you want to query it live.

Stanley Black & Decker reports Q1 on **Tuesday, April 29 at 8:00 AM ET**. This brief covers the consensus, what to listen for, and seven specific predictions you can score against the actual results. Husqvarna reports shortly after — that pre-read is coming next week.

The tariff landscape has shifted meaningfully since we last spoke — the Supreme Court struck down the IEEPA tariff authority in February, Section 232 metals tariffs kicked in April 6, and SBD is sitting on \$800M of annualized tariff exposure they're still trying to price through. Meanwhile STIHL's 60% domestic sourcing keeps looking better.

A note on accuracy: This is built from public filings, earnings call transcripts, analyst estimates, product catalogs, and current market data. Every claim has a source. Nothing here touches STIHL internal operations or strategy. If you see anything off, just reply — corrections make the next one better.

Brady

SBD Q1 2026 Earnings Pre-Read

What to watch, what it means for STIHL, and seven predictions to score.

Prepared April 22, 2026 • SBD reports April 29, 8:00 AM ET

THE HEADLINE

SBD enters its toughest tariff quarter while transitioning its gas outdoor business to a licensing model — creating a pricing umbrella and a market share opening that STIHL is positioned to exploit on both fronts.

KEY NUMBERS AT A GLANCE

Q1 REVENUE EST. \$3.7B ~-1% YoY. Organic decline ~3% after CAM divestiture and outdoor licensing shift.	Q1 EPS EST. \$0.55– \$0.60 Company guidance. Reflects peak tariff expense on the P&L this quarter.	TARIFF EXPOSURE \$800M Annualized gross impact. Q1 carries the highest tariff P&L expense of the year.	FY 2026 EPS GUIDE \$4.90– \$5.70 ~13% growth at midpoint. Assumes ~150 bps gross margin expansion.
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WHAT TO LISTEN FOR

1. Tariff Math Update

- **The \$800M number may move.** The Supreme Court struck down IEEPA tariff authority in February 2026. The replacement — a 15% global tariff under Section 122 — may be lower or higher than the original IEEPA rates on specific categories. Listen for whether SBD revises the \$800M figure up or down.
- **Section 232 metals tariffs (effective April 6):** 50% on aluminum, 25% on derivatives. SBD uses aluminum extensively in housings and components. This is a NEW cost layer on top of the \$800M.
- **STIHL read:** Every tariff dollar SBD absorbs or passes through is a dollar STIHL doesn't face on 60% of its BOM. If SBD revises tariff exposure upward, the STIHL advantage gap widens.

2. Pricing Realization

- **+2% enterprise-wide pricing planned for FY 2026,** weighted to H1. Q1 will show the first real data on whether consumers are absorbing the increases or trading down.
- **Listen for:** Volume/mix commentary. If revenue is flat-to-down while pricing is +2%, that means units are declining — potential demand destruction from price increases.
- **STIHL read:** If SBD signals consumer pushback on pricing, STIHL has the option to hold price and take share through the dealer channel. The tariff math gives STIHL room SBD doesn't have.

3. Outdoor Segment Transition

- **Gas-powered walk-behind outdoor lines shifting to licensing model mid-2026.** Expected revenue hit: \$120–140M for the year. Q1 may show early effects as retailers adjust orders.
- **DeWalt 60V MAX outdoor expanding aggressively:** Top-handle chainsaw (\$419–\$579), backpack blower (160mph/855 CFM), hedge trimmers, pro string trimmer + edger (~\$800 each). Premium pricing positions DeWalt as a contractor-grade outdoor brand.
- **STIHL read:** SBD is simultaneously abandoning gas outdoor AND pricing battery outdoor at professional levels. Both moves create space for STIHL — gas loyalists lose a mass-market option, and DeWalt's \$800 string trimmers make STIHL's dealer-channel battery offering look like the value play.

4. Gross Margin Trajectory

- **Q4 2025 adjusted gross margin: 33.3% (+210 bps YoY).** Full-year target: ~150 bps expansion. But Q1 is the peak tariff quarter — margin expansion may stall or reverse temporarily.
- **Listen for:** Whether the \$2B cost transformation program is offsetting tariff headwinds or just treading water.

5. Channel Inventory & Consumer Demand

- **Q4 outdoor revenue was up 2% organically,** driven by strong preseason ordering. The question is whether sell-through is matching sell-in, or if retailers are sitting on elevated inventory heading into spring.
- **Listen for:** POS (point-of-sale) commentary, retailer inventory levels, and any signs of promotional activity to clear inventory — which would signal demand weakness.

COMPETITIVE INTEL: DEWALT OUTDOOR MOVES

DEWALT 60V MAX — 2026 EXPANSION

PRODUCT	PRICE POINT	STIHL IMPLICATION
12" Top-Handle Chainsaw (DCCS673X1)	\$419–\$579	Targets arborists — STIHL's core pro segment. But dealer service + gas/battery choice is STIHL's counter.
Backpack Blower (160mph, 855 CFM)	TBD	STIHL BRA 280 answers with 192 mph / 571 CFM at CES 2026. Head-to-head spec battle.
Pro String Trimmer + Edger	~\$800 each	Premium pricing. STIHL's AP system competes at similar levels but with dealer support advantage.
Hedge Trimmers (fixed + articulating)	TBD	Category expansion — DeWalt filling lineup gaps. STIHL has full coverage already.

Net assessment: DeWalt is going upmarket in outdoor, which validates STIHL's positioning but creates direct competition at the pro price point for the first time. The differentiation is service, dealer relationship, and the gas+battery dual strategy.

TARIFF LANDSCAPE — APRIL 2026

LAYER	RATE	EFFECTIVE	SBD IMPACT	STIHL IMPACT
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Section 122 Global	15% all imports	Feb 21, 2026	HIGH — import-heavy supply chain	LOW — 60% domestic
Section 232 Metals	50% aluminum, 25% derivatives	Apr 6, 2026	HIGH — aluminum housings, steel components	MODERATE — some imported metals
Section 301 (under review)	Hearings Apr/May 2026	TBD	Potential additional exposure	Minimal

Key context: The Supreme Court struck down IEEPA tariff authority in February 2026. The 15% Section 122 tariff replaced the prior tariff structure. SBD's \$800M annualized exposure figure was calculated under the old regime — the April 29 call is the first opportunity to see revised math under the new framework, PLUS the additional Section 232 metals layer.

STIHL ADVANTAGE MATH

ESTIMATED PER-UNIT COST GAP

\$20–\$40/unit

On mid-range products (\$299–\$599) where a competitor sources 40%+ of components from tariff-affected origins. With the Section 232 metals layer on top of Section 122, the gap may widen further for aluminum-intensive products like blower housings and engine components.

Dealer talking point: "Our Virginia Beach operation sources 60% of components locally. While competitors are managing \$800M in tariff costs through price increases, we're positioned to hold value and protect dealer margins."

PREDICTION SCORECARD

Seven specific calls to score against the actual Q1 results. This is the system getting smarter — predictions that hit build credibility, misses sharpen the model.

- P1 Q1 revenue comes in at or below the \$3.7B guidance.** Rationale: tariff-driven price increases are dampening consumer demand in the \$200–\$500 power tool range. Preseason outdoor ordering may have pulled forward some Q2 revenue into Q4 2025.
- P2 Outdoor segment shows organic revenue decline in Q1.** Rationale: gas licensing transition creates channel uncertainty. Retailers may be holding off on gas orders they know are moving to a licensed model mid-year.
- P3 Management announces additional pricing actions for H2 beyond the +2% already planned.** Rationale: Section 232 metals tariffs (effective April 6) create a new cost layer not fully captured in February guidance. Aluminum at \$3,557/ton (+48.5% YoY) amplifies the pressure.
- P4 DeWalt battery outdoor is highlighted as a growth bright spot.** Rationale: the gas→battery pivot is the strategic narrative SBD wants to tell. 60V MAX outdoor line expansion will be framed as the future, even as gas outdoor revenue declines from the licensing shift.

- P5** **Tariff exposure number is revised — either up (adding Section 232) or recalculated under Section 122.** Rationale: the IEEPA → Section 122 transition fundamentally changed the tariff math. Plus, Section 232 metals tariffs create a new exposure layer. The old \$800M figure is almost certainly stale.
- P6** **Q1 gross margin expansion misses the full-year 150 bps pace.** Rationale: management explicitly said Q1 carries peak tariff P&L expense. The \$2B cost transformation program may not fully offset in the seasonally softest quarter.
- P7** **Management references supply chain diversification progress — specifically Mexico and US capacity.** Rationale: the tariff environment makes onshoring/nearshoring a centerpiece of investor narrative. SBD has been shifting production and will want to show progress, which ironically validates STIHL's Virginia Beach positioning.

ACTION ITEMS FOR ROB'S TEAM

- 1. Listen to the SBD earnings call live (April 29, 8 AM ET).** Focus on the five "what to listen for" areas above. Note any language about outdoor market demand, battery penetration rates, and tariff pass-through consumer response.
- 2. Update the dealer talking track after the call.** If SBD revises tariff exposure upward or announces additional price increases, STIHL's domestic sourcing advantage gets an immediate refresh. Have the talking point ready within 24 hours of the call.
- 3. Watch DeWalt's outdoor pricing at Home Depot.** The 60V MAX pro string trimmer at ~\$800 and top-handle chainsaw at \$419–\$579 set new reference prices. Monitor whether retailers promote these aggressively for spring, which would signal inventory concerns.
- 4. Prep a one-page "Competitive Positioning" memo for leadership.** Post-earnings is the perfect window to brief Waiblingen on how SBD's tariff exposure and outdoor transition create structural tailwinds for STIHL. Frame it around the \$20–\$40/unit cost gap and the gas licensing retreat.
- 5. Flag the Section 232 metals tariff impact internally.** 50% on aluminum and 25% on derivatives (effective April 6) is a new cost layer that affects every OPE manufacturer. STIHL's domestic sourcing helps but doesn't eliminate exposure on imported metals. Quantify the internal impact before competitors start using it in price-increase narratives.

STOCK & PEER CONTEXT

SWK

\$72.19

Stanley Black & Decker
52-wk: \$53.91 – \$93.37
As of Apr 14, 2026

HUSQ-A.ST

SEK ~78

Husqvarna Group
Nasdaq Stockholm
Reports late April

DE

\$376

John Deere
Macro benchmark
NYSE

Analyst consensus on SWK: 17 analysts — 5 Strong Buy, 11 Hold, 1 Strong Sell. Average price target \$88.33 (+22% upside). Wells Fargo lowered PT to \$75 from \$82 on April 8.

SECTION	STATUS	SOURCE DATE
SBD Q1 Earnings Preview	Included	April 17, 2026
Tariff Landscape Update	Included	April 17, 2026
DeWalt OPE Competitive Intel	Included	April 17, 2026
STIHL Action Items	Included	April 17, 2026
Prediction Scorecard	Included	April 17, 2026
Peer Stock Context	Included	April 14, 2026
Husqvarna Earnings Pre-Read	Coming next week	—
Post-Earnings Debrief + Scorecard	After April 29	—

Prepared by Brady Smallwood • mception.ai • April 2026
The attached .md dossier is uploadable to Claude or ChatGPT for interactive analysis.